INTERNAL AUDIT REPORT · REF: IA/2026/Q1/PAY-001

Payroll Management Review February 2026

Business Central Post-Migration Payroll Compliance

REPORT REF IA/2026/Q1/PAY-001	REVIEW PERIOD February 2026
DATE ISSUED March 2026	PREPARED BY Internal Audit
DISTRIBUTION Head of Finance · HR Manager	STATUS DRAFT – FOR MANAGEMENT RESPONSE

§ 01 Background & Objective

The organisation migrated its payroll processing to **Microsoft Dynamics 365 Business Central** during Q4 2025. Internal Audit initiated a focused post-migration review of the February 2026 payroll run to assess whether the system configuration produces accurate statutory deductions and net pay outcomes.

The review covered a judgement sample of **15 employees**, selected to include staff on basic-only pay structures and staff with material allowances (fuel, house, acting). Recomputation was performed independently using the applicable Kenyan statutory rules for Pension, SHIF, NSSF, AHL and PAYE.

§ 02 Scope & Methodology

SAMPLE SIZE	15 employees

REVIEW PERIOD	February 2026
SYSTEM REVIEWED	Microsoft Dynamics 365 Business Central
STATUTORY FRAMEWORKS	Pension (5% employee / 10% employer), SHIF (2.75% of gross), NSSF Tier 1 & 2, AHL (1.5%), PAYE – Kenya graduated scale

Work performed:

→ Independent recomputation of gross pay, statutory deductions, excess pension, PAYE and net pay for all 15 sampled employees.

→ Agreement of system-generated payslip values to audit recomputation to identify variances.

→ Review of Business Central earning-code configurations for pension and SHIF calculation bases.

→ Review of sample payslips for reporting field accuracy.

§ 03 Overall Conclusion

HIGH RISK **OVERALL CONTROL OPINION — SYSTEMIC CONFIGURATION DEFECTS IDENTIFIED**

The review identified systematic payroll calculation errors affecting all employees whose compensation includes allowances. The defects originate from configuration errors in Business Central and produce incorrect results for any employee with fuel, house, or acting allowances. Two concurrent statutory compliance deficiencies were identified (pension base and SHIF base); the pension error cascades into incorrect excess pension, tax on excess pension, and net pay. A reporting field defect was also identified on one payslip, indicating that generated reports cannot be fully relied upon without independent recomputation.

Management is required to correct the underlying configuration, validate the fix through a parallel run, and perform a retrospective quantification of payroll errors since migration.

§ 04 Audit Findings

FINDING 01

• HIGH

Employee Pension Contribution Calculated on Basic Pay Instead of Gross Pay

PROCESS OWNER	TARGET RESOLUTION
HR Manager	**Immediate — before March 2026 payroll run**

CONDITION

For 9 of the 15 sampled employees, Business Central applied the 5% employee pension contribution to **basic pay only**. Audit recomputation applied 5% to **gross pay** (inclusive of all recurring allowances), consistent with the approved payroll rule. The total understatement of employee pension across the sample is **KES 46,065.70.**

NO.	EMPLOYEE NO.	VARIANCE — EMPLOYEE PENSION (KES)	BASIS OF VARIANCE
1	EMP0158	2,416.20	5% applied to basic instead of gross
2	EMP0303	12,839.75	5% applied to basic instead of gross
3	EMP0495	3,900.00	5% applied to basic instead of gross
4	EMP0500	2,028.75	5% applied to basic instead of gross
5	EMP0525	3,131.25	5% applied to basic instead of gross
6	EMP0547	2,500.00	5% applied to basic instead of gross
7	EMP1829	8,643.20	5% applied to basic instead of gross
8	EMP1836	6,138.75	5% applied to basic instead of gross
9	EMP0673	4,467.80	5% applied to basic instead of gross
Total Variance		46,065.70	

CRITERIA

The approved payroll policy requires employee pension contributions at 5% of *gross pay*, inclusive of all recurring allowances. Employees whose gross pay equals basic pay were processed correctly; the error is specific to employees with allowance components.

CAUSE

Business Central is configured to apply the pension calculation to the basic pay earning code only. Allowance earning codes were not mapped into the pension calculation base during system setup or migration.

EFFECT

→ Employee pension contributions are understated for all employees with allowances — both within and beyond the sample.

→ Excess pension (portion exceeding the KES 30,000 monthly limit) is understated by KES 46,065.70 across the sample, directly reducing tax on excess pension deducted.

→ Net pay for affected employees is overstated, as allowable pension deductions are under-applied.

→ Retrospective corrections will require adjustments to multiple months of payroll since migration, with associated statutory remittance implications.

RECOMMENDATION

→ Immediately correct the pension calculation base in Business Central to include all recurring allowance earning codes.

→ Validate the fix end-to-end through a parallel recomputation before the March 2026 live payroll run.

→ Quantify total pension understatement across the full payroll population for all post-migration periods and make the necessary corrections to employee records and statutory remittances.

FINDING 02

• HIGH

SHIF Deduction Not Applied Consistently Across All Relevant Earnings

PROCESS OWNER

HR Manager

TARGET RESOLUTION

Immediate — before March 2026 payroll run

CONDITION

For three sampled employees, Business Central did not apply the 2.75% SHIF deduction to the full gross pay base:

→ **EMP0303 & EMP1829** — acting allowance was excluded from the SHIF calculation base.

→ **EMP0673** — SHIF was incorrectly calculated for the February 2026 period.

The remaining 12 sampled employees had SHIF correctly computed on gross pay.

CRITERIA

Under current Kenyan legislation, SHIF is chargeable at **2.75% of gross salary or wages**, subject to the applicable monthly minimum. All recurring earnings forming part of gross pay must be included in the SHIF base.

CAUSE

Certain earning codes — notably acting allowance — were not mapped to the SHIF calculation base in Business Central. This is a configuration oversight during migration, consistent with the pension earning-code mapping defect in Finding 1.

EFFECT

→ Affected employees are under-deducted for SHIF, exposing the organisation to statutory compliance risk and potential penalties.

→ SHIF remittances to the regulator may be understated.

→ Because the issue is driven by earning-code mapping, the error likely extends to all employees with acting allowances beyond the three identified in the sample.

RECOMMENDATION

→ Review all earning codes in Business Central and confirm which should be included in the SHIF calculation base.

- → Correct the SHIF setup and validate through end-to-end recomputation for employees with acting, house, fuel and other recurring allowances.
- → Quantify and correct SHIF under-deductions since migration and ensure accurate remittance to the regulator.

FINDING 03

• MEDIUM

Cascading Calculation Errors — Excess Pension Taxation, Net Pay & Payslip Reporting Integrity

PROCESS OWNER	TARGET RESOLUTION
HR Manager	**Before next payroll — parallel run required**

CONDITION

Because employee pension was understated (Finding 1), all downstream values dependent on pension were also misstated:

→ Excess pension was understated by a cumulative **KES 46,065.70** across affected sample employees.

→ Tax on excess pension — derived from the excess pension amount and marginal tax treatment — was consequently understated, further overstating net pay.

CRITERIA

Payroll outputs must accurately compute and present taxable pay, excess pension, PAYE and net pay. Reports generated from Business Central should be complete, accurate and reliable for employee communication, management oversight and audit trail purposes.

CAUSE

The primary cause is the pension base configuration error in Finding 1.

EFFECT

→ Payroll outputs cannot be fully relied upon without independent recomputation, undermining confidence in the post-migration environment.

→ Employees are receiving inaccurate net pay and may raise disputes once corrections are processed.

→ Management and Finance are exposed to rework, restatement of statutory deductions and potential regulatory scrutiny.

→ Payslips presented to employees or third parties contain materially inaccurate information.

RECOMMENDATION

→ Perform a full logic walkthrough of the payroll formula chain in Business Central, from earnings through statutory deductions, excess pension, PAYE and net pay.

→ Conduct a post-fix parallel run to confirm all outputs are accurate before the next live payroll.

§ 05 Required Management Actions

Management is requested to provide a **formal response** against each finding, confirming the agreed corrective action, the responsible owner, and the target completion date.

Responses should be returned to Internal Audit within **10 working days** of this report.

Internal Audit will perform a follow-up review of payroll outputs after the corrective configuration changes have been implemented and the parallel run completed.

§ 06 Appendices

APPX A Independent Payroll Recomputation Workbook — *Payroll_Recomputation-Feb_2026.xlsx*

APPX B Pension Computation Tables A, B and C (included in recomputation workbook)